

Executive Summary

Compensation is moving from the back office to the [center of business strategy](#). Organizations are [using total rewards](#) to retain talent, stay competitive, and respond to changing employee expectations. Yet despite this shift, relatively few have reached a high level of maturity. This year's *HR.com's Future of Compensation and Total Rewards 2026–27* report reveals that only 27% report having an advanced or innovative approach¹ to compensation and total rewards (TR).

The findings suggest that maturity makes a measurable difference. TR leader organizations² are more than ten times more likely than TR laggard organizations to report highly effective compensation programs, with 63% rating their strategy highly effective compared with just 6% of TR laggards.

The pressure to act is clear. Retention is the leading compensation objective for 57% of organizations, and 59% have updated their compensation practices within the past two years. Most employers focusing on attracting and/or retaining talent through compensation and TR provide the foundations employees expect, including healthcare, fair pay, and retirement support. But among organizations that identify enhancing the employee experience as a top compensation objective, only 35% regularly evaluate reward-program effectiveness and 27% offer flexible or personalized benefits.

The path forward is taking shape. Mature organizations pair strong compensation fundamentals with fair-pay reviews, broader measurement, and a more employee-centered rewards experience. As 52% of organizations focus on maintaining market competitiveness, Artificial intelligence (AI) is emerging as a practical tool for automating processes and improving market-pay analysis. The following findings show where organizations are making progress, where gaps persist, and which practices most clearly distinguish mature total rewards strategies.

About the Survey

"HR.com's Future of Compensation and Total Rewards 2026" survey ran between May and July 2026. We gathered responses from 208 HR professionals in numerous industry verticals. Respondents are from all over the world, with the majority from North America, especially the United States.

The participants represent a broad cross-section of employers by number of employees, ranging from small businesses to enterprises with 20,000+ employees. Over three-fourths of respondents are from midsize and large organizations.

¹ Organizations with strategically aligned, data-driven rewards programs that are supported by formal processes, metrics, and continuous improvement.

² Throughout this report, references to TR leaders refer to respondents who rated their organization's compensation and total rewards approach as advanced or innovative, while TR laggards refer to those who rated their approach as undeveloped or beginning.

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Major Research Findings

Major Finding 1

Compensation is becoming more strategic, but relatively few organizations have developed highly mature total rewards programs.

- Only 27% report advanced or innovative compensation and total rewards maturity.
- Nearly two-fifths (39%) describe their approach as intermediate.
- One-third remain in the beginning or undeveloped stages.
- The proportion reporting an advanced approach has nearly tripled from 7% in 2022 to 20% in 2026.

Major Finding 2

Retaining talent remains the primary driver of compensation strategy as organizations continue modernizing their rewards programs.

- Almost three-fifths (57%) identify retaining key talent as their top compensation objective.
- Three-fifths (59%) have updated compensation practices within the past two years.
- Attracting talent (37%), motivating performance (36%), and ensuring fair and equitable pay (36%) remain major strategic priorities.

Major Finding 3

Organizations continue investing in foundational total rewards, but personalization and continuous evaluation remain limited.

- Among respondents who identified attracting or retaining key talent as a top objective:
 - ▶ Eight in ten offer employee healthcare plans.
 - ▶ Seven in ten identify fair and equitable pay as a core element of their rewards offering.
 - ▶ Two-thirds provide retirement and financial well-being benefits.
- Among respondents who identified enhancing the employee experience as a top compensation objective, 35% regularly evaluate reward program effectiveness, while just 27% offer flexible benefits or lifestyle accounts tailored to employee needs.

Major Finding 4

Organizations are preparing for a more data-driven and AI-enabled future while focusing on maintaining competitive compensation.

- More than half (52%) identify remaining competitive as their top compensation priority over the next two years.
- Almost two-fifths (38%) plan to strengthen pay-for-performance alignment.
- More than half (55%) see AI's greatest value in automating compensation processes, while 51% see opportunities to improve market analysis and competitive pay decisions.

Major Finding 5

TR leaders consistently outperform TR laggard organizations by adopting data-driven and employee-centric compensation strategies.

Compared to TR laggards, TR leader organizations are:

- more than 10X more likely to report highly effective compensation strategies
- 6X more likely to regularly evaluate the effectiveness of their total rewards programs
- more likely to conduct comprehensive pay fairness reviews and communicate pay transparency beyond legal requirements
- more likely to measure a broader range of compensation outcomes including offer acceptance, employee retention, market competitiveness, and pay equity
- delivering a broader employee value proposition, investing more heavily in career development, wellness, retirement benefits, flexible work, tuition assistance, and ongoing total rewards communication than their lower-performing counterparts